



MAN IN ACTION DIPAM Secretary Tuhin Kanta Pandey says sustainable jobs can only come from sustainable businesses

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‘Employees, bidding universe big challenges to divestment’

DIPAM Secretary Tuhin Kanta Pandey holds forth on privatisation, disinvestment and the challenges

BY RAJAT MISHRA

THE GOVERNMENT has been on a mission to raise revenues by divesting its stakes in public sector enterprises. The man in the centre of all the action is **Tuhin Kanta Pandey**, Secretary in the Department of Investment and Public Asset Management (DIPAM). Pandey says that for DIPAM, capacity building is a priority as it doesn't have too much institutional memory of privatisation. And while the Bharat Petroleum

Corp. (BPCL) divestment has been put on the back-burner, there is a steady pipeline going forward. In a chat with *Business Today*, he talks about the challenges on the disinvestment path and the way ahead. Edited excerpts:

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On the challenges to privatisation

The first challenge is, are the people [employees] ready? They are the stakeholders in the corporation; the first challenge is employees asking if they are being abandoned. From a policy viewpoint, sustainable jobs can only come from sustainable businesses.

Some people might say, ‘why are you divesting a

profit-making corporation? Divest the loss-making ones only’. That's not how it works because today's profit-making [organisation] could be tomorrow's loss-making one... In real privatisation, where the management control gets passed on, those organisations have grown—[both in terms of] productivity and profit.

Another challenge is the bidding universe, where the competitive bidding process will be dependent on the bidders. If we want good bids, it depends on the kind of company [being bid for]. It might also be linked to timing. Many times, the timing or market conditions are not favourable. In some cases, we have also done two or three EoIs [expressions of inter-